CapVisor Associates, LLC
Quarterly Newsletter

CapVisor Associates, LLC

Fall 2017

Insurance Asset Management

Volume 9, Issue 4

Inside this issue:

All Eyes On the FED

As we all may have read, Jerome H. Powell has been nominated to chair the Federal Reserve by President Trump. In his usual manor, Mr. Trump is breaking with precedent in replacing Ms. Yellen: the previous three Fed chairs were re-appointed and in each case, by a president of the opposite political party. The good news is that Powell is expected to stay the course on monetary policy, meaning a slow and steady rise in interest rates if the economy continues its steady growth. Powell is amply qualified and experienced having been a member of the Fed's board of governors since 2012. In many ways, he is a safe choice. First, he has consistently voted with Ms. Yellen to slowly raise interest rates. Second, he is also an advocate of selling

Continued on page 6

Economic Review

The Great Unwind

The Federal Reserve announced at their most recent meeting on September 20th that they will begin reducing their balance sheet in October as markets expected. In this edition of OIM's quarterly letter, we will review the Fed's plan, its potential ramifications, and the likelihood of a December rate increase based on the current inflation and employment data. We will also consider the potential departure of the Federal Reserve Chairperson, Janet Yellen. Lastly, we will evaluate the federal tax overhaul proposed by the White House in late September, along with its potential implications on the U.S. economy.

Federal Reserves Dual Mandate Update

Economic data points released at the end of September added further support to the view that the current expansion will continue at a moderate pace of growth even without pro-growth policy support from Washington DC. The non-farm payroll number (-33,000) for September fell short of economists' expectations (80,000 per the Bloomberg consensus), but was certainly skewed by the significant economic disruption caused by Hurricanes Harvey, Irma and Maria. We expect the rebuilding process in the months ahead to offset any near term weakness in the immediate aftermath of the storms.

Notwithstanding the effects of the hurricanes, other recent economic numbers reflected positively on the economy through the end of September. The headline unemployment number showed a decline in September of two tenths of a percent to 4.2, its lowest reading in over 16 years. Wages delivered an upside surprise that saw the year-over-year gain in average hourly earnings in September rise to 2.9%. ISM manufacturing and non-manufacturing data also demonstrated solid gains, underscoring the

Continued on page 2

Leo J. Dierckman (24 years fixed income investment experience) is a Managing Director, Portfolio Manager for Oppenheimer Investment Management LLC. Leo is primarily responsible for management duties for the Insurance accounts and non-investment grade assets.). He holds a B.S. in Finance from Indiana University.

"Notwithstanding the effects of the hurricanes, other recent economic numbers reflected positively on the economy through the end of September."

Economic Review

likelihood of continued progress in the economy into next year.

The Fed's preferred inflation indicator, the Personal Consumption Expenditures Core Price Index (Core PCE), is running noticeably short of the Fed's 2% target. After accelerating for much of 2016 and reaching a high of 1.9% in January 2017, Core PCE has fallen since most recently reading 1.3% year-over-year in August. The Fed continues to believe this disinflation will be transitory, as evidenced by June's rate increase and the pending reduction in asset purchases despite signs of lower inflation. The probability of another rate hike in 2017 (implied by Fed Funds futures) increased from approximately 35% on September 11th to approximately 77% on October 10th despite the disappointing payroll numbers. We concur with the market's view that the FOMC will increase the Fed Funds target rate by 0.25% from 1.25% to 1.50% at the December meeting.

The Federal Reserve's Balance Sheet – a bullet point review of "The Great Unwind"

- The Fed's unwinding of Quantitative Easing (QE), or more simply, the reduction of their balance sheet will begin in October 2017.
- Implementation will be gradual, like "watching paint dry" per Chair Yellen. The Fed will reduce the principal of its treasury and mortgage securities holdings by $10 billion per month for October through December 2017 ($6 billion treasury, $4 billion mortgage). Every three months, the reinvestment rate will be reduced by an additional $10 billion until the maximum roll-off rate of $50 billion is reached ($30 billion treasury, $20 billion mortgage).
- The Fed has not specified a normalized level of asset holdings, but FTN Financial believes the final balance sheet will stabilize at $2.5 to 3 trillion, suggesting $1.5 to 2 trillion of principal reduction ahead for the Fed.
- $2.5 to 3 trillion of asset holdings is significantly larger than the amount of assets held by the Fed in 2008 prior to embarking on QE (approx. $500 billion); however, the Fed's normal liabilities (currency in circulation, deposits held for the Treasury, etc.) have grown naturally in the last decade, resulting in a higher normalized level of asset holdings than the level in 2008. The chart below details the Fed's balance sheet.
- Who will replace the Fed's demand for treasury and mortgage securities? The Fed's asset purchases were primarily financed with excess bank reserves (as seen in the chart on the next page). As the Fed's bonds mature, the cash will be returned to member banks and excess reserves will be reduced at the Fed. Because member banks are mandated by Dodd-Frank and Basel III to maintain a percentage of assets in highly liquid securi-

Continued on page 3

Economic Review

ties, funds that were previously held on reserve at the Fed are expected to be reinvested back into the treasury and mortgage markets by the member banks themselves. Households and foreign central banks such as China will continue to be significant buyers of fixed income assets as well.

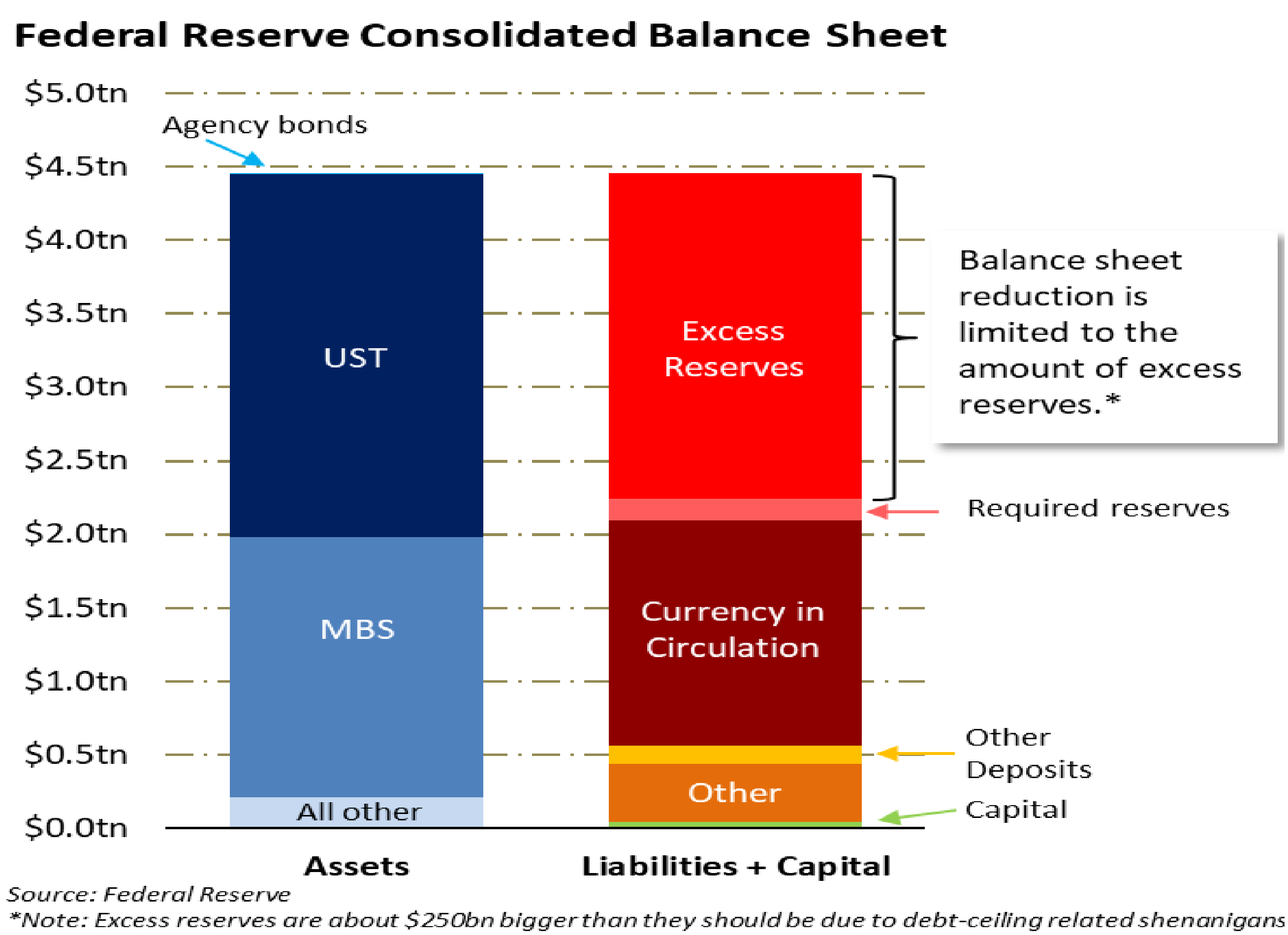
- How much will interest rates rise as a result of the reduced Fed buying? It is impossible to say and an answer that all investors are searching for. However, we maintain a bias for rates to increase and continue to manage our portfolio durations short to their respective benchmarks.

We do not expect rates to increase substantially, especially on the long end of the curve.

A New Federal Reserve Chairperson?

In addition to the Fed balance sheet reduction, another uncertainty hanging over fixed income markets is the prospect that President Trump will not re-nominate Fed Chair Yellen when her first 4-year term expires in February 2018. Furthermore, Vice Chairman Fischer has announced his intention to step down from the Board of Governors, while 2 spots on the seven member board remain unfilled.

Continued on page 4



Source: FTN Financial

Michael Richman, CFA (22 years fixed income investment experience) is a Managing Director, Portfolio Manager for Oppenheimer Investment Management LLC. He has primary portfolio management duties for the investment grade assets in addition to his research responsibilities for the Bank/Finance and Insurance sectors. Prior to joining OIM, Mike was Vice President, Portfolio Manager and Head of Corporate Trading at 40|86 Advisors, Inc. He holds a B.S. in Finance from Indiana University and is a CFA charterholder.

"The legislative process will likely dilute the suggested comprehensiveness of tax reform and the impact it has on individuals and corporations. "

Economic Review

(Randall Quarles was recently confirmed to fill a third opening on the board.) Therefore, with the potential to appoint 5 of the 7 seats on the Fed Board of Governors to 14-year terms, the President, with the confirmation of the Senate, has the opportunity to advance a strategic shift in leadership at the Fed should one be deemed necessary. In our view, such a prospect adds an additional layer of uncertainty for global markets as they formulate economic outlooks into 2018 and beyond. It can take several years for market participants to gain comfort with the Fed's philosophy and methodology for setting and implementing monetary policy. The personality, experience, and policy views of a new leader at the helm of the Fed could usher in a period of increased volatility for the economy and the markets, a factor that many have yet fully incorporate in their forward expectations.

We, along with many, view Yellen in a favorable light and would be pleased to see her re-appointed. The President was critical of Yellen during the campaign but has made more favorable comments about her since. One candidate reported to be on Trump's short list is current board member Jerome Powell. We believe he would be a "Yellen like" appointee. His focus since joining the board in 2012 has been bank regulation and supervision. He has publically supported Yellen's views on monetary policy while demonstrating some willingness to roll back bank regulations, a likely policy aim of the Trump Administration. The President has reportedly considered other candidates favoring a more dramatic remake of the Fed, the impact of which is much more difficult to handicap. We are prepared for increased volatility and have structured portfolios defensively against rising rates, which we view as the most likely outcome from a change in Fed leadership that results in the status quo in monetary policy with some reduction in bank regulation.

Move over ACA, Tax Reform is the Focus

Having failed to repeal the Affordable Care Act, on September 27, 2017 the White House released a somewhat detailed tax reform proposal called "Unified Framework for Fixing Our Broken Tax Code". The legislative process will likely dilute the suggested comprehensiveness of tax reform and the impact it has on individuals and corporations. Much has been written in various financial publications about the many proposed changes and as a result our comments at this early stage will be limited. For fixed income investors, a few of the most key provisions would:

- Create incentives for corporations to repatriate cash and investments held off shore.
- Retain federal exemptions for certain types of municipal bonds; however, lower individual and corporate tax rates could reduce their attractiveness relative to taxable bonds.
- Reduce corporate tax rates. Combined with the repatriation of off shore cash, we believe companies would have less incentive and need to issue debt, resulting in a potential positive technical for existing corporate bonds and tighter spreads.

In an attempt to help our audience think a little deeper about why wages are low and why inflation may not be right around

Continued on page 5

Economic Review

the corner, we offer these interesting facts and figures:

- According to the U.S. Bureau of Labor Statistics, nearly 2/3rd of consumer spending is on housing, medical services, and education. The other 1/3rd is for goods such as food, apparel, cars, etc.
- According to new Census Bureau data, U.S. household incomes hit a record high last year at $59,039, 3.2% higher than a year earlier, finally topping the inflation-adjusted record set in 1999.
- A July report from the Economic Policy Institute found that the chief executive officers made an average of $15.6 million in compensation in 2016, or 271 times the annual average pay of ordinary workers. In 1965, executives earned 20 times the pay of ordinary workers.
- In 2016, 6.4% of private sector wage earners were union members in the US, a drop from 16.8% in 1983 according to the International Monetary Fund.
- Japan's labor market is the tightest it's been in decades with a 2.8% unemployment rate the lowest in 23 years, but as of September 2017, wages had risen nine tenths of a percent from the prior year.

Capital Markets and Performance

The third quarter of 2017 initially witnessed lower interest rates on concerns of geo-political risks and hurricane destruction before essentially finishing the quarter at the same level they began on hopes of tax reform discussed above, The bellwether 10-year Treasury yield began the quarter at 2.30% and reached a low of 2.04% on September 7th. However, the 10-year Treasury yield closed the third quarter at 2.33%, up just 3 basis points from where it began as economic data remained strong and markets priced in tax relief. The Bloomberg U.S. Aggregate Index returned 0.85% in the third quarter which brought the year-to-date return to 3.14%. Continuing a trend from previous quarters, lower quality bonds outperformed higher quality bonds and corporate securities were the best sector performers as investors continue to search for additional yield for their portfolios. Within the corporate sector, Utilities and Industrials outpaced Financials. High Yield bonds continued their impressive performance with the BofA/Merrill Lynch High Yield Master II Index returning 2.04% in the quarter resulting in an impressive 7.05% return year-to-date.

Our strategy of carrying an overweight to corporate securities once again helped performance. All of our composites posted strong performance versus their respective benchmarks in the quarter and on a year-to-date basis. We continue to believe this overweight in corporate bonds and the coupon advantage they offer remains the best opportunity in fixed income. As we enter the fourth quarter and retest multi-year spread tights on corporate securities versus Treasury, we maintain our view favoring defensive sectors and up-in-quality.

All Eyes On the FED

"With regard to the Adminstration's policy issues, specifically the general desire to reduce business restrictions and regulations, Powell has expressed support for legislation that would require financial regulators to apply cost-benefit analysis to proposed rules. "

off assets that the Fed bought up to enhance market liquidity after the '08 recession. Third, Mr. Powell is a Republican and notwithstanding the FED's political independence, is perhaps more likely to be cooperative with policy initiatives. However, he differs from many predecessors in one major area: he is not an economist. In fact, he is a lawyer by training and investment banker by trade.

Like Janet Yellen before him, Mr. Powell is expected to be a centrist voice in the Fed's internal debates. Therefore, the markets have the expectation of a continuance of current Fed policy to reverse its stimulus campaign at a slow and steady pace. Such continuity of Fed policy would be most welcomed along with any assurances from Powell that the FED's tightening will be a gradual and measured trend so as not to create any sudden market distortions.

With regard to the Administration's policy issues, specifically the general desire to reduce business restrictions and regulations, Powell has expressed support for legislation that would require financial regulators to apply cost-benefit analysis to proposed rules. However, he was not in favor of proposals that might allow large banks to borrow more of their funding. Powell believes that requiring the banks to raise capital from investors will maintain the strength of our financial system. The politicization of the FED is a concern and an underscoring that the Fed's independence by Powell would also be a reassuring sign for the markets. Given his background, we might expect him to make it clear that he plans to work with lawmakers on the regulatory front.

<u>So what should we expect?</u>

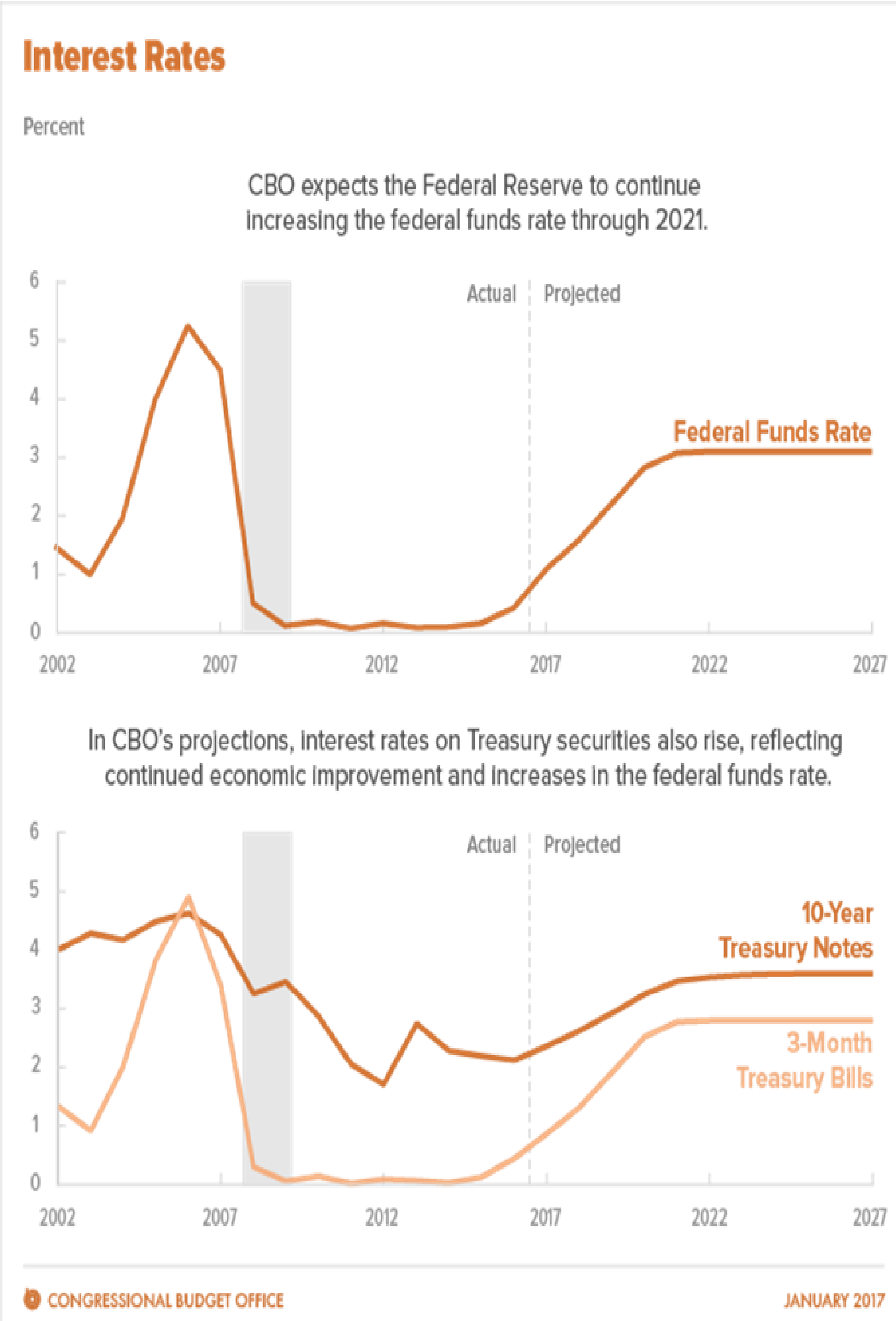
At its November 2017 meeting, the Federal Reserve left the target range for its federal funds rate unchanged at 1 percent to 1.25 percent. However, with the labor market continuing to strengthen along with economic activity, despite hurricane-related disruptions, the Fed will likely raise rates a quarter-point in December. While the US inflation rate is still stubbornly low, the Fed probably sees inflation running close enough to its 2 percent target to continue raising rates and reducing the balance sheet through asset sales. The trick will be for the central bank to cut security purchases modestly before gradually cutting more, in a manner that interest rates won't really feel the cuts' effect. This will keep the markets more stable. Without a sudden rise in inflation, we would also expect that long-term interest rates should rise minimally by year's end.

It is interesting to note for context that, from 1971 until 2017, interest rates in the US averaged 5.76 %. That is hard to believe given the rates levels that we have become accustomed to since the '08 record low of 0.25 percent on the heels of the crisis. Fewer and fewer may remember back to the all-time high of 20% in March of 1980.

With interest rates in the United States expected to be 1.50 % by the end of this quarter, what can we expect looking forward? The chart on the next page shows the Congressional Budget Office projected Fed Funds rates.

Continued on page 7

All Eyes On the FED



Source: Congressional Budget Office

Positioning Insurance Portfolios

Even with interest rates set to move higher, we are still a long way away from the long-term average of 6% 10-year Treasury yields. However, that doesn't mean that risks are not building for insurance company bond portfolios.

With the recent steady stream of news and data supporting the likelihood of higher interest rates, the question of "risk" to insurers' bond portfolios will be determined primarily by the speed of rate increases and/or a resurgence of inflation. Recent economic data has improved and tax cuts appear to be an administration priority and are expected to be moving through Congress shortly. How much pressure will need to be put on the Fed before it needs to assume a more hawkish position?

Perhaps fortunately, any such pressure may be offset by demographics and its effect on US GDP growth. Of course, the economic good news is viewed through the prism of recent years of very lethargic GDP growth, a rate below "normal". Our extended period of low

Continued on page 8

CapVisor Associates, LLC

CapVisor Associates, LLC
P.O. Box 1084
Gainesville, GA 30503
(973) 665-6370

Email us at:

info@capvisorassociates.com

yields, since '08, are in part correlated to this low GDP growth which in turn is correlated to our aging population. Slower growth in the workforce means slower economic growth.

Consumers' borrowing and investing patterns shift due to this aging affect, as well. Borrowing would be expected to be reduced and investing would trend towards current income generation and away from total return /appreciation orientations. These trends may be a force behind a continuance of low inflations rates and low interest rates.

It is estimated that real growth would need to accelerate well beyond the 2% to 2.50% range typical of the recent "recovery years" to drive faster rate increases. A material increase in inflation rates could also be a cause, however there is little evidence for either possibility.

In summary, we believe that any pressures for a rapid rise, or normalization of rates will continue to be offset by the factors mentioned above. These circumstances should result in a controlled, moderate rise in interest rates over the next few years. The bond bull market may have ended, with rates having bottomed out, but "normal" interest rate levels seems unattainable within the near future barring any large, unpredictable socio/political events.

We believe that a "new normal" has established itself. Anyone yearning for that 6% return on the 10-year Treasury is likely to be disappointed. On a positive note, with Powell at the Fed's helm, and a continuance of transparency and predictability in Fed policy, bond portfolios should be able to navigate anticipated rate increases with minimal damage.

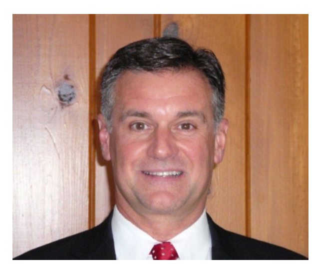
Upcoming Events

CapVisor hopes to see you at the Cayman Captive Forum at the Ritz Carlton in the Cayman Islands Nov 28-30.

Carl Terzer will be speaking and exhibiting at the re-scheduled SCCIA Annual Executive Educational Conference at the Mills House in Charleston, SC. Dec 5-7th. Please stop by and say hello to Carl and Rachel.

CapVisor will be in at attendance at the World Captive Forum at the Fort Lauderdale Marriott Harbor Beach Resort & Spa Jan 31-Feb 2.

Carl Terzer will be a speaker and exhibiting at CICA at The Westin Kierland Resort & Spa Scottsdale, Arizona March 11-13, 2018. Please stop by booth #20. Hope to see you there!



Carl E. Terzer
Principal
Editor in Chief
CapVisor Associates, LLC